Software Cracks

S&P −0.42% off intraday record. SaaS rout led by IBM and ServiceNow. Texas Instruments lifts analog. NEE blows out, LMT misses.

THE SESSION

Wednesday's records were rented, not owned. The S&P 500 closed Thursday at 7,108.04, off 0.42% from yesterday's all-time high after touching another intraday record at the open. The Nasdaq led the give-back at −0.89% to 24,437, the Dow shed 0.36% to 49,310, and the Russell 2000 fell 0.37%. Two narratives ran in parallel: a sharp, sector-specific rout in enterprise software and a positive reset across analog semiconductors. The dispersion under a quiet headline made today a stock-picker's tape.

The software break was the day's defining event. ServiceNow fell roughly 17% after flagging a 75 basis-point subscription-revenue hit from on-premise deal slippage in the Middle East tied to the Iran conflict. IBM dropped about 9% on a print that beat top and bottom but maintained guidance the market was no longer willing to accept at face value. The contagion was indiscriminate—Salesforce, HubSpot, Workday, and Adobe all fell roughly 7–10%. Investors are repricing the entire SaaS complex against AI-disruption risk that has now moved from thesis to tape. The S&P Software & Services index dropped over 4% on the session.

Texas Instruments' Wednesday-night print provided the counterweight. Q1 revenue of $4.83 billion (+19% year over year) and a Q2 guide of $5.00–$5.40 billion against a $4.7 billion Street were a clean read on industrial and data-center analog demand. TXN itself rallied roughly 18%, and the read-through carried the analog peers—ADI gained 5.89% and NXPI 6.83% in IOWN. The Philadelphia Semiconductor Index added approximately 2% to a record, even as a Yahoo report noted the chip complex has added $3 trillion in market value and is the most overextended in decades—a tension worth holding in view.

Macro stayed live. Brent crude spiked above $105 after Israeli reports that Iran's parliament speaker resigned from the U.S. negotiating team, and Iranian air defenses engaged unidentified targets over Tehran. Oil's midday surge weighed on equities into the close. President Trump confirmed there is no deadline on the war or for Tehran to respond to his peace proposal, while Iran's president said the U.S. blockade of Iranian ports remains the principal obstacle to talks. The ceasefire is holding nominally; the path beyond it is not clearing.

IOWN Tactical: dispersion days reward the discipline of owning real businesses across sleeves rather than concentrating in any single narrative. The dividend sleeve absorbed the software damage; the growth sleeve absorbed the rate-sensitive utility rally. Both worked.

IOWN HOLDINGS: NOTABLE MOVERS

WINNERS

NEE +6.94% DIVIDEND STRATEGY

Q1 adjusted EPS $1.09 vs. $0.94–$1.01 consensus, beating by 8–15% across estimates, with FPL net income up 11% to $1.46 billion and Energy Resources adjusted earnings up 14%. Management maintained 2026 EPS guidance of $3.92–$4.02 and explicitly targeted the high end. The renewables and storage backlog grew to approximately 33 GW. Closed at $96.25, the best session in the dividend sleeve.

NXPI +6.83% GROWTH PORTFOLIO

Caught the Texas Instruments updraft as analog peers were repriced higher on TXN's Q2 guide of $5.00–$5.40 billion against $4.70 billion expected. The print signaled industrial- and data-center-driven analog demand is accelerating, not stabilizing. Closed at $241.16.

ADI +5.89% DIVIDEND STRATEGY

Same TXN read-through—Barron's flagged ADI heading for record highs on the analog repricing. ADI sits at the intersection of dividend discipline and the AI-infrastructure thesis. Closed at $403.88.

CAT +3.26% DIVIDEND STRATEGY

Continued to trade as a hybrid industrial/AI infrastructure name on its data-center power generation business. Reports next Thursday, April 30. Today's strength was a positioning move into the print rather than a specific catalyst. Closed at $835.24.

BKH +2.95% DIVIDEND STRATEGY

Rate-sensitive utility caught a bid alongside ATO (+2.92%) as the dividend complex outperformed on a day when growth sleeves bled. The day's rotation favored exactly what the IWS-to-DVY benchmark switch was designed to measure against. Closed at $74.67.

KEYS +2.23% GROWTH PORTFOLIO

Test & measurement equipment, lifted by the same analog-semis read-through as ADI and NXPI—Keysight is the instrumentation play on chip-development capex. Closed at $346.53.

DECLINERS

SUPV –6.08% GROWTH PORTFOLIO

Argentine bank trading lower in a session of broad emerging-markets and small-bank weakness. No company-specific catalyst—the move tracks the global risk-off tone in financials. Closed at $8.96.

HOOD –5.53% GROWTH PORTFOLIO

Sell-the-news pressure ahead of April 28 earnings. Truist and Barclays both lowered estimates this week citing softer February and March trading volumes. Crypto transaction revenue fell 38% year over year in Q4, and the bar into Q1 has dropped meaningfully. Closed at $83.54.

ORI –5.16% DIVIDEND STRATEGY

Q1 adjusted EPS $0.68 missed $0.79–$0.80 consensus by roughly 14%, with the consolidated combined ratio deteriorating to 96.6% from 93.7% a year ago. Net operating income fell 15% year over year. Revenue beat at $2.40 billion (+16.5%) on investment gains, but the underwriting story is what the tape priced. Closed at $39.90.

A –5.02% DIVIDEND STRATEGY

Agilent fell sharply on no specific catalyst—caught in the broader life-sciences and instrumentation rotation that saw DGX (−2.19%) also weak. The session's big quality-rotation move favored analog semis over diagnostic and lab tools. Closed at $114.42.

FTNT –4.97% GROWTH PORTFOLIO

Cybersecurity software caught in the SaaS contagion from IBM and ServiceNow. Even a security-software bid could not insulate FTNT from the broader enterprise-software repricing. Closed at $82.76.

LMT –4.62% DIVIDEND STRATEGY

Q1 EPS $6.44 missed $6.69–$6.77 consensus with revenue flat at $18.0 billion against $18.19 billion expected. Free cash flow swung to negative $291 million from positive $955 million a year ago. F-16 development delays and C-130 supply-chain integration drove $180 million of unfavorable Aeronautics adjustments. Full-year guidance reaffirmed. Closed at $529.79.

COIN –4.03% GROWTH PORTFOLIO

Sold off in sympathy with HOOD and the broader crypto pullback as Bitcoin slipped to $77,888. The Tuesday NY AG lawsuit overhang remains an ambient pressure point for the name. Closed at $197.93.

ETHA –3.53% DIGITAL ASSET ETF

Ethereum ETF underperformed Bitcoin's −0.39% on the broader crypto pullback. IBIT held up better at −1.56%. The digital-asset sleeve gave back the strongest portion of yesterday's rally. Closed at $17.49.

LRCX –2.56% DIVIDEND STRATEGY

Sell-the-news after Wednesday's post-close beat (EPS $1.47 vs. $1.38 estimate, revenue slight miss). The stock had run roughly 11% into the print and the after-hours pop faded as the broader chip-overextension narrative took hold. Closed at $258.74.

HOLDINGS NEWS

NEE: Q1 Adjusted EPS $1.09, Up 10% YoY, Targeting High End of 2026 Guide. Florida Power & Light added nearly 100,000 retail customers over the trailing twelve months and posted 3.4% retail sales growth. FPL capex was $3.2 billion in the quarter against full-year 2026 guidance of $12–$13 billion. Energy Resources added a record 4 GW of renewables and storage origination including 1.3 GW of storage. Long-term EPS growth target reaffirmed at 8%+ annually through 2032–2035. The print is a clean validation of the rate-sensitive utility sleeve.

LMT: Cash Flow Turned Negative; Aeronautics Took $180M in Charges. First-quarter free cash flow was negative $291 million versus positive $955 million a year ago, attributed to working-capital timing and ERP-implementation effects. F-16 development delays and C-130 deliveries weighed on Aeronautics operating profit, which fell 14% to $619 million. Full-year revenue guide of $78.75 billion at the midpoint and EPS guide of $29.80 reaffirmed. The market read the print as confirmation that the production-cycle constraints the bears flagged are real and persistent.

ORI: Underwriting Quality Eroded; Combined Ratio Deteriorated 290 bps. Specialty Insurance pretax operating income dropped 47% year over year on a higher loss ratio and reduced favorable prior-year reserve development. Title Insurance improved with premiums up 12%. Net operating income per share of $0.68 versus $0.81 a year ago. Net premiums and fees grew 7% to $1.97 billion, but the quality of underwriting is deteriorating—the headline beat on revenue did not offset what the combined ratio said about the underlying business.

SSNC: Closed Down 0.88% After Yesterday's Jefferies Target Trim. SS&C Technologies held up materially better than the broader software complex (which lost 4–15% across major names) thanks to its fund-administration business model being structurally less exposed to the AI-disruption thesis hitting SaaS. The relative strength is informative.

LRCX: $3T Chip Sector Overextension Flagged Same Day as Sell-the-News. A Yahoo report citing a "Chart of the Day" noted the chip complex has added $3 trillion in market cap and is the most overextended in decades. The narrative arrived the morning after Lam's clean beat—the combination drove the stock down 2.56% despite no fundamental change. The dynamic is positioning, not thesis.

PORTFOLIO PERFORMANCE

DIVIDEND STRATEGY ✓ BEAT ONE

+0.52%

vs. DVY +0.93% | SPY –0.39%

GROWTH PORTFOLIO ✗ TRAIL

–1.05%

vs. IUSG –0.87%

YEAR-TO-DATE

Dividend +11.17% vs DVY +7.60% / SPY +4.30%
Growth +5.48% vs IUSG +5.16%